



PAPER – 1: ADVANCED ACCOUNTING



QUESTIONS

PART – I: Multiple Choice Questions based on Case Scenarios

1. In the books of G Ltd., closing inventory as at 31.03.2024 amounts to ₹ 10,40,000 (on the basis of FIFO method).

The company decides to change from FIFO method to weighted average method for ascertaining the cost of inventory for 31.3.2024. On the basis of weighted average method, closing inventory as on 31.03.2024 amounts to ₹ 8,80,000. Realisable value of the inventory as on 31.03.2024 amounts to ₹ 12,00,000.

What will be the value of inventory in the books and what disclosure should be given in the financial statement on 31.3.2024?

- (a) The value of inventory will be ₹ 8,80,000 and the fact that the valuation method has changed to be disclosed in the financial statement.
- (b) The value of inventory will be ₹ 12,00,000, and full disclosure with the amount the valuation method has changed to be disclosed in the financial statement.
- (c) The value of inventory will be ₹ 12,00,000, and the fact that valuation method has changed to be disclosed in the financial statement.
- (d) The value of inventory will be ₹ 8,80,000, and full disclosure with the amount the valuation method has changed to be disclosed in the financial statement.

2. A Ltd. has a balance of ₹ 17,15,000 in the loan account with State Finance Corporation which is inclusive of ₹ 1,15,000 for interest accrued but not due. The loan is secured by hypothecation of the Plant and Machinery.

As per Schedule III to the Companies Act, 2013 loan is to be disclosed in the balance sheet as follows:

- (a) Disclosed ₹ 16,00,000 as a secured loan under long-term borrowings.
- (b) Disclosed ₹ 16,00,000 as a secured loan under long-term borrowings and ₹ 1,15,000 under short-term borrowings.
- (c) Disclosed ₹ 16,00,000 as a secured loan under long-term borrowings and ₹ 1,15,000 under other current liabilities.
- (d) Disclosed ₹ 16,00,000 as a secured loan under long-term borrowings and no disclosure for ₹ 1,15,000.

General MCQs

3. Most by-products as well as scrap or waste materials, by their nature, are immaterial. Thus, these are measured at:
- (a) Cost
 - (b) Cost or Net Realisable Value whichever is lower
 - (c) Nil
 - (d) Net realisable value

Part II - Descriptive Questions

Applicability of Accounting Standards

AS 1 "Disclosure of Accounting Policies"

4. What do you mean by 'Accrual' in reference to AS-1? Also, specify any three reasons for 'Accrual Basis of Accounting'.

AS 2 "Valuation of Inventories"

5. From the following information provided by LMN Ltd. for the year 2024, you are required to compute the closing inventory:

Raw Material A
Closing balance: 700 units

	₹ per unit
Cost price including GST	280
ITC available	25
Freight inward	35
Handling charges	20
Replacement cost	200

Finished Goods B
Closing balance: 1,800 units

	₹ per unit
Material consumed	280
Direct labour	80
Direct overhead	40

Total fixed overhead for the year was ₹ 3,60,000 on a normal capacity of 36,000 units, while actual production has been 30,000 units.

Calculate the value of closing stock when:

- Net Realisable Value of Finished Goods B is 500 per unit
- Net Realisable Value of Finished Goods B is 380 per unit

AS 3 "Cash Flow Statements"

- From the following data of Vishnu Ltd. prepare cash flow statement from Operating activities using direct method as per AS 3:

	31.03.2024 (₹)	31.03.2023 (₹)
Current Assets:		
Inventory	1,20,000	1,65,000
Trade receivables	2,05,000	1,88,000
Cash & cash equivalents	35,000	20,500

Current Liabilities:		
Trade payable	1,95,000	2,15,000
Provision for tax	48,000	65,000

Summary of Statement of Profit and Loss	₹	₹
Sales	85,50,000	
Less: Cost of sales	<u>(56,00,000)</u>	29,50,000
Other Income		
Interest income	20,000	
Fire insurance claim received	<u>1,10,000</u>	<u>1,30,000</u>
		30,80,000
Depreciation	(24,000)	
Administrative and selling expenses	(15,40,000)	
Interest expenses	(36,000)	
Foreign exchange loss	<u>(18,000)</u>	<u>(16,18,000)</u>
Net Profit before tax and extraordinary income		14,62,000
Income Tax		<u>(95,000)</u>
Net Profit		<u>13,67,000</u>

Additional information:

- (1) Trade receivables and Trade payables include amounts relating to credit sale and credit purchase only.
- (2) Foreign exchange loss represents increment in liability of a long-term borrowing due to exchange rate fluctuation between acquisition date and balance sheet date.

AS 4 "Contingencies and Events Occurring After the Balance Sheet Date"

7. Smart Ltd. closes its books of accounts every year on 31st March. The financial statements for the year ended 31st March, 2024 are to be approved by the approving authority on 30th June 2024. During the first quarter of 2024-2025, the following events / transactions has taken place. The accountant of the company seeks your guidance for the following:

- (i) Smart Ltd. has an inventory of 50 stitching machines costing at ₹ 5,500 per machine as on 31st March, 2024. The company is expecting a heavy decline in the demand in next year. The inventories are valued at cost or net realisable value, whichever is lower. During the month of April 2024, due to fall in demand, the prices have gone down drastically. The company has sold 5 machines during this month at a price of ₹ 4,000 per machine.
- (ii) A fire has broken out in the company's godown on 15th April, 2024. The company has estimated a loss of ₹ 25 lakhs of which 75% is recoverable from the Insurance company.
- (iii) The company has entered into a sale agreement on 30th March, 2024 to sell a property for a consideration of ₹ 7,50,000 which is being carried in the books at ₹ 5,50,000 at the year end. The transfer of risk and reward and sale is complete in the month of May 2024 when conveyance and possession get completed.
- (iv) The company has received, during the year 2022-2023, a government grant of ₹ 15 lakhs for purchase of a machine. The company has received a notice for refund of the said grant on 15th June, 2024 due to violation of some of the conditions of grant during the year 2023-2024.

You are required to state with reasons, how the above transactions will be dealt with in the financial statement for the year ended 31st March 2024.

AS 5 "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies"

8. The Accountant of Heera Ltd. has sought your opinion with relevant reasons, whether the following transactions will be treated as change in Accounting Policy or not for the year ended 31st March, 2024. Please advise him in the following situations in accordance with the provisions of relevant Accounting Standard;
 - (i) Till the previous year the furniture was depreciated on straight line basis over a period of 5 years. From current year, the useful life of furniture has been changed to 3 years.
 - (ii) Management decided to pay pension to those employees who have retired after completing 5 years of service in the organization. Such

employees will get pension of ₹ 20,000 per month. Earlier there was no such scheme of pension in the organization.

- (iii) During the year ended 31st March, 2024, there was change in cost formula in measuring the cost of inventories.

AS 7 "Construction Contracts"

9. (i) AP Ltd., a construction contractor, undertakes the construction of commercial complex for Kay Ltd. AP Ltd. submitted separate proposals for each of 3 units of commercial complex. A single agreement is entered into between the two parties. The agreement lays down the value of each of the 3 units, i.e. ₹ 50 Lakh ₹ 60 Lakh and ₹ 75 Lakh respectively. Agreement also lays down the completion time for each unit.

Comment, with reference to AS- 7, whether AP Ltd., should treat it as a single contract or three separate contracts.

- (ii) On 1st December, 2023, GR Construction Co. Ltd. undertook a contract to construct a building for ₹ 45 lakhs. On 31st March, 2024, the company found that it had already spent ₹ 32.50 lakhs on the construction. Additional cost of completion is estimated at ₹ 15.10 lakhs. What amount should be charged to revenue in the final accounts for the year ended 31st March, 2024 as per provisions of AS-7?

AS 9 "Revenue Recognition"

10. Given below are the following informations of B.S. Ltd.
- (i) Goods of ₹ 50,000 were sold on 18-03-2024 but at the request of the buyer these were delivered on 15-04-2024.
- (ii) On 13-01-2024 goods of ₹ 1,25,000 are sent on consignment basis of which 20% of the goods unsold are lying with the consignee as on 31-03-2024.
- (iii) ₹ 1,00,000 worth of goods were sold on approval basis on 01-12-2023. The period of approval was 3 months after which they were considered sold. Buyer sent approval for 75% goods up to 31-01-2024 and no approval or disapproval received for the remaining goods till 31-03-2024.

You are required to advise the accountant of B.S. Ltd., with valid reasons, the amount to be recognized as revenue for the year ended 31st March, 2024 in above cases in the context of AS-9.

AS 10 "Property, Plant and Equipment"

11. Shrishti Ltd. contracted with a supplier to purchase machinery which is to be installed in its Department A in three months' time. Special foundations were required for the machinery which were to be prepared within this supply lead time. The cost of the site preparation and laying foundations were ₹ 1,41,870. These activities were supervised by a technician during the entire period, who is employed for this purpose of ₹ 45,000 per month. The technician's services were given by Department B to Department A, which billed the services at ₹ 49,500 per month after adding 10% profit margin.

The machine was purchased at ₹ 1,58,34,000 inclusive of IGST @ 12% for which input credit is available to Shrishti Ltd. ₹ 55,770 transportation charges were incurred to bring the machine to the factory site. An Architect was appointed at a fee of ₹ 30,000 to supervise machinery installation at the factory site.

Ascertain the amount at which the Machinery should be capitalized under AS 10 considering that IGST credit is availed by the Shrishti Limited. Internally booked profits should be eliminated in arriving at the cost of machine.

AS 11 "The Effects of Changes in Foreign Exchange Rates"

12. Legal Ltd. is engaged in the manufacturing of rubber. For its plant, it required machineries of latest technology. It usually resorts to Long Term Foreign Currency Borrowings for its fund requirements. On 1st April, 2023, it borrowed US \$1 million from International Funding Agency, USA when exchange rate was 1 \$ = ₹ 63. The funds were used for acquiring machineries, on the same date, to be used in three different plants. The useful life of the machineries is 10 years and their residual value is ₹ 30,00,000.

Earlier also the company used to purchase machineries out of foreign borrowings. The exchange differences arising on such borrowings were charged to profit and loss account and were not capitalized even though

the company had an option to capitalize it as per notified AS 11.

Now for this new purchase of machinery, Legal Ltd, is interested to avail the option of capitalizing the same to the cost of asset. Exchange rate on 31st March, 2024 is 1 US \$ = ₹ 62. Assume that on 31st March, 2024, Legal Ltd. is not having any old long term foreign currency borrowings except for the amount borrowed for machinery purchased on 1st April, 2023.

Comment whether Legal Ltd. can capitalize the exchange difference to the cost of asset on 31st March, 2024. If yes, then calculate the depreciation amount on machineries as on 31st March, 2024.

AS 12 "Accounting for Government Grants"

13. XYZ Limited has set-up its business in a designated backward area which entitles the company to receive from the Government of India a subsidy of 20% of the cost of investment. Having fulfilled all the conditions under the scheme, the company on its investment of ₹ 75 crore received ₹ 15 crore as subsidy from the Government in January 2024. The company wants to treat this receipt as an item of revenue and thereby reduce the losses for the year ended on 31st March, 2024.

Keeping in view the relevant Accounting Standard, examine whether this action is justified or not?

AS 13 "Accounting for Investments"

14. Mr. Harsh provides the following details relating to his holding in 10% debentures (face value of ₹ 100 each) of Exe Ltd. held as current assets:

1.4.2023	Opening balance - 12,500 debentures, cost ₹ 12,25,000
1.6.2023	Purchased 9,000 debentures @ ₹ 98 each ex-interest
1.11.2023	Purchased 12,000 debentures @ ₹ 115 each cum interest
31.1.2024	Sold 13,500 debentures @ ₹ 110 each cum-interest
31.3.2024	Market value of debentures @ ₹ 115 each

Due dates of interest are 30th June and 31st December.

Brokerage at 1% is to be paid for each transaction. Mr. Harsh closes his books on 31.3.2024. Show investment account as it would appear in his books assuming FIFO method is followed.

AS 14 "Accounting for Amalgamations"

15. The Summarized Balance Sheets of Gyan Ltd. And Kiran Ltd. as on 31st March 2024 are given below:

	Gyan Ltd. (₹ in lakhs)	Kiran Ltd. (₹ in lakhs)
<u>Liabilities</u>		
Share capital		
Equity share capital of ₹10 each fully paid-up	650	600
10% Preference shares of ₹ 100 each fully paid-up	150	200
Reserves and Surplus		
General Reserve	-	360
Profit and Loss Account	(260)	
Non-Current Liabilities		
12% Debentures	75	100
Loans from Bank	40	-
Current Liabilities		
Bank overdraft	15	-
Trade payables	95	105
Dividend payable	-	60
	<u>765</u>	<u>1,425</u>
<u>Assets</u>		
Non-Current Assets		
PPE	700	900
Investments	-	250
Current Assets		
Trade receivables	65	135
Cash at bank	-	140
	<u>765</u>	<u>1,425</u>

Gyan Ltd. has acquired the business of Kiran Ltd. as on 31 March 2024 as per following scheme of merger:

- (1) Banks agreed to waive-off 50% loan of Gyan Ltd.
- (2) Gyan Ltd. will reduce its shares to ₹ 2 per share and then consolidate 5 such shares into one share of ₹ 10 (new share).
- (3) Gyan Ltd. will issue 2 equity shares (new) for 3 equity shares of Kiran Ltd. The new shares are to be issued @ ₹ 20 each having a face value of ₹ 10 per share.
- (4) Preference shareholders of Kiran Ltd. will be paid off by issuing equivalent number of 10% Preference shares of Gyan Ltd. of ₹ 100 each at a price of ₹ 105 per share.
- (5) Dividend of Kiran Ltd. will be paid after merger to the shareholders of Kiran Ltd.
- (6) Trade payables of Gyan Ltd. include ₹ 50 lakhs payable to Kiran Ltd.

Pass necessary Journal entries in the books of Gyan Ltd. and prepare Balance Sheet after merger.

AS 16 "Borrowing Costs"

- 16 U Limited has obtained a term loan of ₹ 620 lacs for a complete renovation and modernisation of its Factory on 1st April, 2023. Plant and Machinery was acquired under the modernisation scheme and installation was completed on 30th April, 2024. An expenditure of ₹ 510 lacs was incurred on installation of Plant and Machinery, ₹ 54 lacs has been advanced to suppliers for additional assets which were also received and installed before 30th April, 2024 (additional asset has taken substantial period of time in its installation) and the balance loan of ₹ 56 lacs has been used for working capital purposes.

The company has paid total interest of ₹ 68.20 lacs during financial year 2023-2024 on the above loan. The accountant seeks your advice how to account for the interest paid in the books of accounts.

AS 18 "Related Party Disclosures"

17. SP hotels Limited enters into an agreement with Mr. A for running its hotel for a fixed return payable to the latter every year. The contract involves the day-to-day management of the hotel, while all financial and operating policy decisions are taken by the Board of Directors of the

company. Mr. A does not own any voting power in SP Hotels Limited. Would he be considered as a related party of SP Hotels Limited”?

AS 19 “Leases”

18. Sun Limited wishes to obtain a machine costing ₹ 30 lakhs by way of lease. The effective life of the machine is 14 years, but the company requires it only for the first 3 years. It enters into an agreement with Star Ltd., for a lease rental for ₹ 3 lakhs p.a. payable in arrears and the implicit rate of interest is 15%. The chief accountant of Sun Limited is not sure about the treatment of these lease rentals and seeks your advice. (use annuity factor at @ 15% for 3 years as 3.36)

AS 20 “Earnings Per Share”

19. The following information relates to XYZ Limited for the year ended 31st March, 2024:

Net Profit for the year after tax: ₹ 37,50,000

Number of Equity Shares of ₹ 10 each outstanding: ₹ 5,00,000

Convertible Debentures Issued by the Company (at the beginning of the year)

Particulars	Nos.
8% Convertible Debentures of ₹ 100 each	50,000
Equity Shares to be issued on conversion	55,000

The Rate of Income Tax: 30%.

You are required to calculate Basic and Diluted Earnings Per Share (EPS).

AS 29 “Provisions, Contingent Liabilities and Contingent Assets”

20. Saharsh Ltd. is engaged in manufacturing of electric home appliances. The company is in the process of finalizing its accounts for the year ended 31.3.2023 and needs your expert advice on the following issues:
- (i) The company has its plants at 3 different locations. It has to shut down one of its plants due to internal reasons. The said plant site is under a rental agreement till 31.3.2024. The rent per month is ₹ 80,000. If the company cancels the agreement, it has to pay a penal

amount equal to six month's rent. The company also has an option to sub-let the site at a rent of ₹ 45,000 per month.

- (ii) A case has been filed against the company in the consumer court and a notice for levy of a penalty of ₹ 20 lakhs has been received. The company has appointed a lawyer to defend the case for a fee of ₹ 2 lakhs. 50% of the fees has been paid and balance 50% will be paid after finalisation of the case. There are 75% chances that the penalty may not be levied.
- (iii) The company had committed to supply a consignment worth ₹ 1 crore to one of its dealers by the year-end. As per the contract, if delivery is not made on time, a compensation of 15% of the value is to be paid. While the consignment was in transit, one of the trucks carrying goods worth ₹ 30 lakhs met with an accident. It was however covered by Insurance. According to the surveyor's report, the policy amount is collectable, subject to 10% deduction. Before closing the books of accounts, the company has received the information that the policy amount has been processed and the dealer has also claimed for the compensation.

Give your answers based on relevant Accounting standard.